Solar Break

Government Solar Schemes

for Commercial & Industrial Businesses

Central · Maharashtra · Gujarat · Karnataka · Telangana · Leh (UT Ladakh)

RAG data document · One page per state · Plain text for AI retrieval

Central Government & MNRE — Solar Schemes for Businesses

Applicable across all Indian states · Administered by MNRE, CBDT, Ministry of Power

1. Accelerated Depreciation (AD) — Section 32, Income Tax Act

A business that installs solar panels can claim 40% of the system cost as depreciation in Year 1 on a Written Down Value basis. This reduces the company's taxable income, effectively lowering the net cost of the solar investment by roughly 10–15% depending on the tax bracket. Before 2018 the rate was 80%; it was reduced to 40% by the Finance Act 2017. Manufacturing companies and power generators in notified backward areas get an additional 35% depreciation under Section 32(1)(iia), which can push the effective first-year claim even higher.

- Who qualifies: Any company, LLP, or proprietorship that installs solar and puts it to use in that financial year.
- Savings potential: A business investing ■50 lakh in solar can reduce its taxable profit by ■20 lakh in Year 1 alone (40% AD), saving ~■6–7 lakh in tax at the 30% corporate rate.
- Portal: incometaxindia.gov.in

2. GST Reduction on Solar Equipment

The GST rate on solar power generating systems, solar panels, modules, and cells is 5%. This was reduced from 12% to 5% for cells and modules in September 2025 (GST Council decision, effective September 22, 2025). Commercial businesses that are GST-registered can also claim Input Tax Credit (ITC) on the GST paid when purchasing solar equipment, further reducing the effective cost.

- Who qualifies: Any GST-registered business purchasing solar equipment.
- Savings: A ■50 lakh solar system attracts only ■2.5 lakh GST instead of ■6 lakh; ITC can offset this further.
- Portal: gst.gov.in

3. PM-KUSUM — Component A (Ground-Mount Solar Plants)

PM-KUSUM (Pradhan Mantri Kisan Urja Suraksha evam Utthaan Mahabhiyan) Component A supports setting up small solar power plants of 500 kW to 2 MW near grid substations. While primarily designed for farmers and cooperatives, some states allow Independent Power Producers (IPPs) and power companies to participate. The developer signs a 25-year Power Purchase Agreement (PPA) with the local electricity distribution company (DISCOM) at a guaranteed tariff, creating a steady revenue stream.

- Who qualifies: Farmers, cooperatives, panchayats, water user associations; IPPs allowed in some states.
- Revenue: Guaranteed power sale revenue for 25 years at APPC (Average Power Purchase Cost) tariff.
- Nodal agencies by state: MAHAURJA (MH), GEDA (GJ), KREDL (KA), TSREDCO (TS), LREDA (Leh)
- Portal: pmkusum.mnre.gov.in

4. Renewable Purchase Obligation (RPO) — Compliance Incentive

Large industrial and commercial consumers connected to the grid at High Tension (HT) or Extra High Tension (EHT) are required by law to source a certain percentage of their electricity from renewable sources. For FY 2024-25 this is around 8-10% solar nationally, rising every year toward 50% total RE by 2030. Businesses that install their own solar meet this obligation automatically, avoiding the cost of buying Solar Renewable Energy Certificates (RECs) on the open market.

- Who qualifies: Large HT/EHT consumers — typically factories, large commercial buildings, resorts consuming significant electricity.
- Savings: Avoid REC purchase cost of ■1,000–2,500 per MWh of shortfall.
- Portal: respective state electricity regulator websites (MERC, GERC, KERC, TSERC)

5. Open Access for Renewable Energy

Under the Electricity (Promoting Renewable Energy) Rules 2022, businesses with a connected load of 100 kW or more can directly purchase solar power from a generator via the electricity grid (open access), bypassing the DISCOM's retail tariff. Solar power through open access typically costs ■2–3.5 per unit compared to ■6–12 per unit retail for commercial/industrial consumers, offering very significant savings.

- Who qualifies: C&I; consumers ≥ 100 kW (≥ 1 MW for long-term open access in most states).
- Savings: ■3–8 per unit cost reduction depending on state retail tariff.
- Portal: powermin.gov.in and state SERC websites

Maharashtra — Solar Schemes for Businesses

Nodal Agency: MAHAURJA | Regulator: MERC | Main DISCOM: MSEDCL, Tata Power, AEML, BEST

1. Maharashtra Solar Energy Policy 2023–2028

The state government notified a solar policy targeting 7,500 MW grid-connected solar by 2028, with 2,500 MW from rooftop installations. For businesses, this policy provides a single-window clearance portal for solar project approvals, simplified licensing, and priority facilitation for commercial and industrial rooftop projects. The policy also promotes agrivoltaic (dual-use land) for industrial parks and SEZs.

- Who qualifies: All commercial and industrial businesses in Maharashtra.
- Benefit: Faster approvals, single-window clearance, reduced bureaucratic friction.
- Portal: mahaurja.com

2. Net Metering — Up to 5 MW (MERC, Amended November 2023)

Any commercial or industrial business in Maharashtra can install rooftop solar and connect it to the grid under net metering. The solar system size can be up to 5 MW (or the consumer's contracted demand, whichever is lower). When the solar panels produce more electricity than the business is consuming at that moment, the surplus is exported to the grid and the business gets a credit at the Average Power Purchase Cost (APPC) rate of approximately ■3.60–4.10 per unit. These credits offset future electricity bills.

- Who qualifies: All consumers including commercial and industrial, on MSEDCL, Tata Power, AEML, and BEST networks.
- Savings example: A factory with a 500 kW solar system generating 7 lakh units/year and exporting 2 lakh units earns ~■7–8 lakh in bill credits annually.
- Group net metering: Commercial complexes and industrial estates can pool generation across multiple connections.
- Portal: merc.gov.in

3. RPO / Green Energy Obligation (GEO) for Large HT/EHT Consumers

Large industrial and commercial consumers in Maharashtra are required by MERC to source 17% of their total electricity consumption from solar and 8% from other renewable sources (FY 2025-26 targets). Businesses can meet this by installing captive solar, signing a PPA with a solar generator, or buying Solar RECs on the Indian Energy Exchange. On-site solar is typically the cheapest compliance route.

- Who qualifies: Large HT/EHT consumers above MERC-specified thresholds (check merc.gov.in for current threshold).
- Savings: Avoid buying Solar RECs at ■1,000–2,500/MWh; avoid non-compliance penalties.
- Portal: merc.gov.in

4. Open Access Solar (≥ 1 MW consumers)

Businesses with a contracted demand of 1 MW or more can source solar power directly from a third-party solar generator via the grid under MERC's Green Energy Open Access Regulations (2023). The solar power cost is typically ■3–4.50 per unit plus wheeling and cross-subsidy surcharges, which is still significantly cheaper than the commercial retail tariff of ■8–12 per unit.

- Who qualifies: Commercial/industrial consumers with ≥ 1 MW contracted demand.
- Portal: merc.gov.in — Green OA Regulations 2023

5. MIDC Solar Parks (Industrial Estates)

Industries located in Maharashtra Industrial Development Corporation (MIDC) industrial estates have access to solar parks set up within those estates for captive and group captive consumption. MIDC offers discounted land lease rates for solar installations within its areas, making it easier for factories and industrial units to set up solar without finding separate land.

- Who qualifies: Industries in MIDC estates.
- Portal: midc.in | mahaurja.com

Important Note for Maharashtra Businesses

Maharashtra does NOT offer a separate state capital subsidy for commercial or industrial rooftop solar. The Central Government's PM Surya Ghar CFA (■30,000–78,000/kW) is for residential consumers only. C&I; businesses in Maharashtra rely on net metering credits, RPO compliance savings, Accelerated Depreciation (central), and open access for their solar financial benefits.

Gujarat — Solar Schemes for Businesses

Nodal Agency: GEDA | Regulator: GERC | Procurement: GUVNL | DISCOMs: UGVCL, MGVCL, PGVCL, DGVCL

1. Gujarat Renewable Energy Policy 2023 (GREP 2023)

Gujarat's state solar policy targets 100 GW total renewable energy capacity including 3,000 MW from distributed rooftop solar by 2030. For C&I; businesses the policy provides: online single-window clearance for solar project registration, electricity duty waiver on captive solar consumption, concessional stamp duty on solar project documents, and priority approval for commercial rooftop projects.

- Who qualifies: All commercial and industrial businesses in Gujarat.
- Savings: Electricity duty waiver alone can save 15–20% on electricity costs depending on category.
- Portal: geda.gujarat.gov.in

2. Net Metering — LT Consumers (Up to 100 kW)

Small commercial establishments, shops, hotels, and smaller businesses on Low Tension (LT) supply in Gujarat can install rooftop solar and export surplus electricity to the grid. The surplus is credited annually at the APPC rate of ■3.40–3.80 per unit. System size can be up to 100% of the sanctioned load, with a maximum project size of 1 MW.

- Who qualifies: LT consumers — small commercial and retail businesses.
- Savings example: A 10 kW system on a hotel generating ~14,000 units/year can save ■70,000–1,00,000 in annual electricity bills.
- Portal: gercin.org | apply through your DISCOM (UGVCL / MGVCL / PGVCL / DGVCL)

3. Gross Metering — HT Commercial & Industrial Consumers (Above 100 kW)

Larger commercial and industrial businesses on High Tension (HT) supply use gross metering instead of net metering. Under gross metering, ALL electricity generated by the solar plant is exported to the grid and the business receives a feed-in tariff (approximately ■3.40–3.80 per unit at APPC). The business separately buys electricity from the grid at the retail tariff. This creates a direct revenue stream from every unit the solar plant generates.

- Who qualifies: HT consumers — large factories, warehouses, resorts, commercial complexes.
- Revenue: A 500 kW solar plant generating ~7 lakh units/year earns ~■24–27 lakh/year in feed-in tariff revenue.
- Portal: gercin.org | respective DISCOM

4. Dedicated Renewable Energy-Based Power (DREBP) Scheme

Under this GUVNL scheme, a developer sets up a dedicated solar plant of 25 kW to 1 MW specifically for a commercial or industrial consumer. The DISCOM acts as an intermediary and the consumer gets solar power through a 25-year Power Purchase Agreement at a fixed tariff of ■2.65–3.00 per unit — significantly cheaper than the retail commercial tariff of ■6–9 per unit. The consumer does not need to invest capital in the solar plant.

- Who qualifies: Industrial estates, commercial parks, large individual consumers.
- Savings: ■3–6 per unit savings on commercial electricity for 25 years; no upfront capital needed.
- Portal: guvnl.in

5. Open Access Solar (≥ 1 MW consumers)

Large businesses with a demand of 1 MW or more can directly source solar power from generators via the grid. Open access solar in Gujarat costs approximately ■2–3.5 per unit plus wheeling charges (■0.50–1.20/kWh), cross-subsidy surcharge, and transmission charge — still cheaper than retail. Group captive arrangements (where

a business holds 26% equity in a solar plant and consumes 51% of its output) get additional exemptions from surcharges.

- Who qualifies: HT/EHT consumers ≥ 1 MW.
- Portal: gercin.org

6. 30-Day Banking of Surplus Generation

Gujarat allows solar generators and captive consumers to 'bank' surplus electricity in the grid for up to 30 days without losing it. This is especially useful for businesses with seasonal or time-of-day demand variations — excess generation during low-demand periods can be withdrawn later.

- Who qualifies: Captive solar consumers and open access users in Gujarat.
- Portal: gercin.org

Karnataka — Solar Schemes for Businesses

Nodal Agency: KREDL | Regulator: KERC | DISCOMs: BESCOM, MESCOM, GESCOM, HESCOM, CESCOM

1. Karnataka Renewable Energy Policy 2021–2026

Karnataka's RE policy targets 20,000 MW of renewable energy capacity including 2,000 MW from rooftop solar by 2026. For commercial and industrial businesses the policy provides: single-window clearance for solar projects, priority processing of green energy open access applications, facilitated grid connectivity, and access to KREDL-developed solar parks for captive power sourcing.

- Who qualifies: All commercial and industrial businesses in Karnataka.
- Portal: kredl.kar.nic.in

2. Net Metering — Up to 1 MW (KERC Regulations)

Any business in Karnataka can install rooftop solar up to 1 MW and connect it to the grid under net metering. Surplus electricity exported to the grid is credited at the APPC rate — BESCOM (Bengaluru) pays approximately ■3.80–4.40 per unit, with other DISCOMs slightly lower. Settlement is done annually. Group net metering is available for commercial complexes, IT parks, and industrial estates so multiple connected premises can share one solar installation.

- Who qualifies: All businesses on BESCOM, MESCOM, GESCOM, HESCOM, or CESCOM networks.
- Savings example: A 100 kW system on a warehouse in Bengaluru generating ~1.4 lakh units/year can earn ■5–6 lakh in annual BESCOM bill credits.
- Portal: kerc.org | apply through respective DISCOM

3. State Fiscal Incentives — Karnataka Industrial Policy 2020–2025

Karnataka's industrial policy provides several financial incentives for larger businesses investing in clean energy including solar. These are in addition to the central Accelerated Depreciation benefit.

- Investment promotion subsidy: Up to 2.25% of annual turnover for 6–10 years for large enterprises investing in clean energy.
- Land conversion fee reimbursement: Up to 100% for eligible industrial solar projects.
- Stamp duty exemption: 100% on solar project documents.
- Electricity duty exemption: 100% for 8 years on captive solar consumption.
- Tax holiday: 10-year income tax holiday for solar projects of 1 MW or more.
- Who qualifies: Large and medium enterprises — verify category with KREDL or Dept. of Industries & Commerce.
- Portal: investkarnataka.karnataka.gov.in

4. BBMP / ULB Solar Mandate (New Buildings)

New commercial and industrial buildings in Bengaluru with a built-up area above approximately 2,000 sq m are required to install solar panels to receive an occupancy certificate. This applies within BBMP limits and similar mandates exist in Mysuru, Hubballi, and other cities. While this is a requirement rather than a subsidy, it means all qualifying new commercial buildings automatically get access to net metering savings.

- Who qualifies: New commercial/industrial buildings above floor area threshold seeking occupancy certificate.
- Portal: bbmp.gov.in

5. Open Access Solar — Karnataka (≥ 1 MW)

Large businesses with contracted demand of 1 MW or more can purchase solar power directly from solar generators via the KPTCL grid. Wheeling charges are ■0.50–1.00/kWh depending on voltage level. Karnataka also

allows up to 3-month banking of surplus generation. KERC's Green Energy Open Access regulations provide preferential treatment for RE projects.

- Who qualifies: HT/EHT consumers ≥ 1 MW.
- Portal: kerc.org | KPTCL open access portal

Important Note for Karnataka Businesses

Karnataka does not offer a standalone state capital subsidy for commercial rooftop solar. The central PM Surya Ghar CFA is residential-only. C&I; benefits come from net metering credits, the Industrial Policy fiscal incentives (ED waiver, stamp duty, tax holiday), central Accelerated Depreciation, and open access opportunities.

Telangana — Solar Schemes for Businesses

Nodal Agency: TSREDCO | Regulator: TGERC (formerly TSERC) | DISCOMs: TSSPDCL, TSNPDCL

1. Telangana State Solar & Wind Power Policy 2023

Telangana's solar policy targets 20,000 MW of renewable energy by 2030 including 5,000 MW from rooftop solar. For commercial and industrial businesses the policy provides: single-window clearance for solar project approvals, priority facilitation for C&I; rooftop installations, facilitated grid connectivity, and banking of solar power for captive consumers.

- Who qualifies: All commercial and industrial businesses in Telangana.
- Portal: tsredco.telangana.gov.in

2. Net Metering — Up to 1 MW (TGERC Regulations)

Any business in Telangana can install rooftop solar up to 1 MW and connect it to the grid under net metering. Surplus electricity is credited monthly at the APPC rate of approximately ■3.40–3.80 per unit. In 2025, TGERC published draft regulations expanding the metering framework to cover Net Metering, Gross Metering, Group Net Metering (for complexes and industrial estates), and Virtual Net Metering (for businesses across multiple premises).

- Who qualifies: All businesses on TSSPDCL (Hyderabad, Rangareddy) or TSNPDCL (rest of Telangana) networks.
- Savings example: A 200 kW system on a warehouse in Hyderabad generating ~2.8 lakh units/year can save ■10–12 lakh in annual electricity bills.
- Group net metering: Commercial complexes, IT parks, and industrial estates can pool generation.
- Virtual net metering: Proposed for businesses with solar at one location crediting bills at another.
- Portal: tgerc.gov.in

3. Backward Area Accelerated Depreciation — Additional 35%

This is a central government benefit (Section 32(1)(iia) of the Income Tax Act) that is especially relevant for Telangana. Multiple districts of Telangana are notified as backward areas under the Eighth Schedule. Manufacturing companies and power generating companies that set up solar plants in these notified districts can claim an ADDITIONAL 35% depreciation on top of the standard 40%, making the effective first-year depreciation claim as high as 75%+ of the total solar investment cost.

- Who qualifies: Manufacturing industries and power companies with plants in notified backward area districts of Telangana.
- Savings: On a ■1 crore solar investment in an eligible district, claim ■75+ lakh depreciation in Year 1, saving ■22–25 lakh in corporate tax at 30%.
- Portal: incometaxindia.gov.in — check Eighth Schedule for district list

4. Open Access Solar — Telangana (≥ 1 MW)

Large businesses with contracted demand of 1 MW or more can purchase solar power from generators via the Telangana grid. TSREDCO has developed solar parks in Nalgonda and Mahbubnagar districts where captive and open access consumers can source solar power. Large IT campuses and commercial facilities in Hyderabad often use RESCO arrangements (100–500 kW systems) where a third party installs and owns the solar system and the business buys the power at a contracted rate below retail tariff.

- Who qualifies: HT/EHT consumers ≥ 1 MW for standard open access; RESCO from smaller sizes.
- Portal: tserc.gov.in | tsredco.telangana.gov.in

5. GHMC / HMDA Solar Mandate (New Commercial Buildings)

New commercial buildings in Hyderabad with a built-up area above 500 sq m are required to install solar panels to receive an occupancy certificate from GHMC (Greater Hyderabad Municipal Corporation) or HMDA (Hyderabad Metro Development Authority). TSREDCO maintains a list of empanelled solar vendors for buildings seeking to comply with this mandate.

- Who qualifies: New commercial buildings > 500 sq m in Hyderabad seeking occupancy certificate.
- Portal: ghmc.gov.in | tsredco.telangana.gov.in

Important Note for Telangana Businesses

There is no confirmed state capital subsidy for C&I; solar in Telangana. Key financial benefits are: net/gross metering credits, the backward area Accelerated Depreciation benefit (significant for eligible districts), central AD (40%), and open access/RESCO arrangements. The 2025 TGERC expanded metering framework makes group and virtual net metering easier for commercial complexes.

Leh — Union Territory of Ladakh — Solar Schemes for Businesses

Nodal Agency: LREDA | Administrator: PDD Ladakh | Authority: UT Ladakh Administration / LAHDC Leh

1. UT Ladakh Solar Rooftop Scheme for Commercial Establishments (2025)

This is a dedicated solar scheme for commercial businesses in Leh and Kargil, launched by Lt Governor Kavinder Gupta on September 19, 2025. It is modeled on the PM Surya Ghar residential scheme but is specifically designed for commercial establishments. The scheme is administered by the Power Development Department (PDD) of UT Ladakh. It specifically targets hotels, guest houses, and resorts which have historically depended on expensive diesel and kerosene generators due to Ladakh's remote location and harsh climate.

The scheme covers: eligibility criteria for commercial establishments, subsidy provisions for solar system installation, energy accounting and metering framework, system capacity ranges, monitoring and inspection procedures, and disbursement framework for subsidies.

- Who qualifies: Hotels, guest houses, resorts, and commercial establishments in Leh and Kargil.
- Subsidy amount: Exact figures are determined by PDD Ladakh — contact pdd.ladakh.gov.in for the official scheme document and current rates.
- Why solar makes sense in Leh: Leh receives approximately 7 kWh/m²/day of solar irradiance (one of the highest in India) and diesel costs ■80–100/litre, making solar ROI extremely strong.
- Portal: pdd.ladakh.gov.in | ladakh.gov.in

2. LREDA — Ladakh Renewable Energy Development Agency

LREDA is the primary agency for all renewable energy development in UT Ladakh. It provides: technical assistance and guidance for commercial solar projects, coordination with empanelled vendors, off-grid solar programmes for remote locations, micro-hydro programmes, and facilitation of MNRE central schemes in Ladakh. Businesses planning solar installations in Leh should contact LREDA first for project guidance and vendor referrals.

- Who qualifies: All businesses in UT Ladakh.
- Portal: lreda.gov.in

3. PM-KUSUM Scheme — Implemented via LREDA

The central PM-KUSUM scheme is available in UT Ladakh with LREDA as the nodal implementation agency. Component B (standalone solar pumps for irrigation) is relevant for agricultural businesses and farms. Component A (small solar plants of 500 kW–2 MW near substations) has limited applicability due to Ladakh's remote geography and grid infrastructure, but is available where grid substations exist.

- Who qualifies: Farmers, agricultural businesses, cooperatives; power companies for Component A where grid exists.
- Portal: lreda.gov.in | pmkusum.mnre.gov.in

4. Central Schemes — Fully Applicable in Leh

All central government solar incentives apply to businesses in Leh just as they do across India. Since Leh is a Union Territory, state-level schemes from Jammu & Kashmir do not apply, but all central benefits remain fully valid.

- Accelerated Depreciation (40%): Any registered business in Leh installing solar can claim 40% AD under Section 32 IT Act — reducing taxable income and effectively lowering net system cost by 10–15%.
- GST at 5%: Solar energy systems attract only 5% GST; GST-registered businesses can claim Input Tax Credit.
- RPO framework: Applies to any large HT consumer even in Leh — captive solar is the easiest compliance route.

5. Why Leh Is One of the Best Locations for Solar ROI in India

Leh and Ladakh have exceptional conditions that make solar investment especially attractive for businesses, even without large subsidies:

- Solar irradiance: ~7 kWh/m²/day peak — among the highest in India, comparable to Rajasthan.
- High electricity cost: Commercial tariffs in Leh are high due to remote location and infrastructure costs.
- Diesel dependency: Hotels and businesses running diesel generators pay ■80–100/litre; solar eliminates or drastically reduces this.
- Payback period: Despite high altitude installation challenges, commercial solar payback in Leh is typically 4–6 years.
- Real-world example: Tata Power installed a 50 kWp rooftop solar system at Hotel Barath in Leh (May 2026), expected to generate ~65,000 kWh/year — Ladakh's first commercial rooftop solar project.
- Winter performance: Modern panels retain ~70-80% efficiency even in cold Leh winters; snow load considerations require professional structural assessment.